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F
Value added tax

Lecture example 1-Solution

2025.5.1 – 2026.4.30

£13,500×2/3+£18,000+£21,000+£30,000+£39,000×1/3 = £91,000 ＞ £90,000

Jack becomes liable for registration on 30 April 2026.

He must then notify the HMRC within 30 days, by 30 May 2026.

He will be registered from 1 June 2026.

Lecture example 2-Solution

On 1 May 2025 Road Ltd received an order and expected that in next 30-day period its taxable supplies will exceed £90,000. This meets the future test conditions.

The company needs to notify HMRC of its need to register by 30 May 2025.

HMRC will register the company from 1 May 2025.

Lecture example 3-Solution

Output VAT	£
Output VAT cash sales 33,600 × 1/6 + 17,900 × 0% credit sales 18,000 × 85% × 94% × 1/6 + 18,000 × 15% × 1/6 Input VAT 12,120 × 1/6 + 6,500 × 0% Impairment loss relief 450 × 2 VAT payable	£ 5,600 2,847 8,447 (2,020) (900) 5,527	5,600
Output VAT cash sales 33,600 × 1/6 + 17,900 × 0% credit sales 18,000 × 85% × 94% × 1/6 + 18,000 × 15% × 1/6 Input VAT 12,120 × 1/6 + 6,500 × 0% Impairment loss relief 450 × 2 VAT payable	£ 5,600 2,847 8,447 (2,020) (900) 5,527	2,847
		8,447
Output VAT cash sales 33,600 × 1/6 + 17,900 × 0% credit sales 18,000 × 85% × 94% × 1/6 + 18,000 × 15% × 1/6 Input VAT 12,120 × 1/6 + 6,500 × 0% Impairment loss relief 450 × 2 VAT payable	£ 5,600 2,847 8,447 (2,020) (900) 5,527	(2,020)
Impairment loss relief 450×2		(900)
VAT payable		5,527

Lecture example 4-Solution

Plant	8,000×20%	£1,600
Stock	12,000×20%	£2,400

VAT on accountancy fees is not recoverable as more than 6 months prior to registration.

Lecture example 5-Solution

Different tax points for £300 deposit and the £1,700 balance payment.

Shelly should account for VAT as follows:

a) Deposit

22 March 2025: Output tax £300×20% =£60

It belongs to Q/e 31 March 2025.

b) Balance

3 May 2025: Output tax £1,700×20%=£340

It belongs to Q/e 30 June 2025.

Lecture example 6-Solution

Quarter ended	Penalties for late returns		Penalties for late payments	Interest for late payments
	Cumulative penalty points	Penalties incurred		
30 April 2025	1	0	0	£84
31 July 2025	2	0	£2,260	£423
31 October 2025	3	0	£690	£86
31 January 2026	4	£200	0	£80

Lecture example 7-Solution

(a) Cool Kids Ltd does not use the flat rate scheme.

	£
Output VAT 84,900×85%×20%+84,900×15%×0%	14,433
Input VAT 14,100×20%	(2,820)
VAT payable	11,613

(b) Cool Kids Ltd opts to use the scheme.

[84,900×85%×(1+20%) + 84,900×15%]×16.5% = £16,390

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谢谢观看

THANK FOR WATCHING